EQUITY VALUATION | NSE: BERGEPAINT

Berger Paints: is ₹465 pricing in too much?

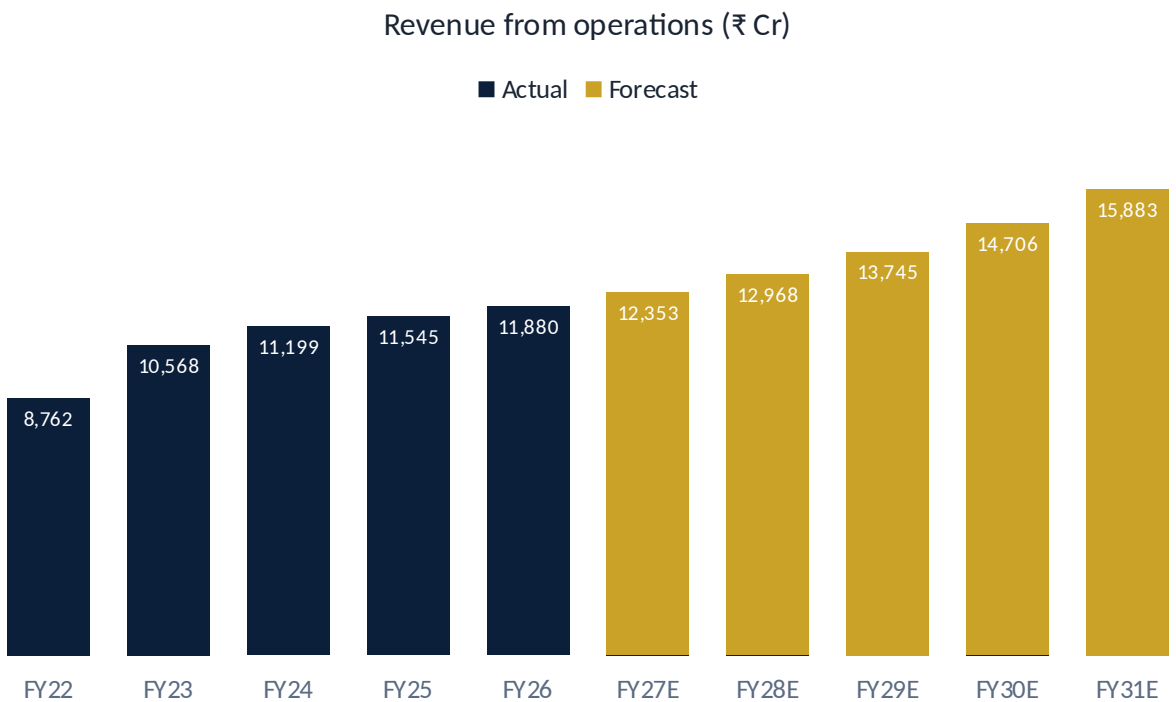
A three-statement model and DCF, built from consolidated historicals and stress-tested assumption by assumption

₹139	₹465	−70%
DCF value per share	Market price (Nov 2026)	Implied downside

Swipe for the numbers → full model in my profile's Projects

By Aarav | INR Crore unless stated | Not investment advice

Growth has stalled at ~3% after the post-Covid surge



+20.6%
FY23 growth

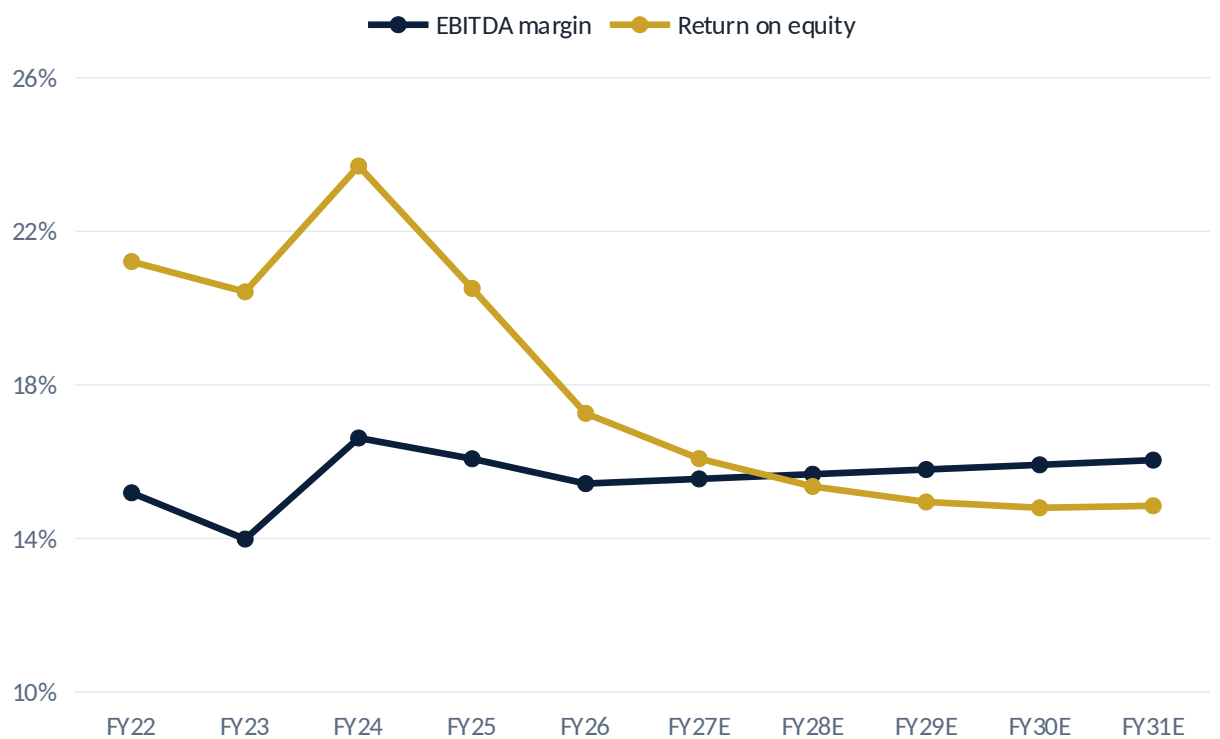
+2.9%
FY26 growth

6.0%
FY26–31E CAGR

Forecast growth starts at the 3-year CAGR (4.0%) and fades up to 8% by FY31E. Management targets ₹20,000 Cr by 2030; the model reaches ₹15,883 Cr.

Source: Screener.in consolidated financials (FY22–FY26); my model (FY27E–FY31E).

Margins hold at 15–16%, but returns on equity are sliding



23.7%
ROE, FY24 peak

14.9%
ROE, FY31E

16.0%
EBITDA margin, FY31E

Why ROE falls: a 38% payout leaves cash piling up in low-yield investments (₹1,189 Cr to ₹2,696 Cr by FY31E), and the new plants add capital ahead of any revenue they bring.

Source: Screener.in; my model. ROE on average shareholders' equity.

Five-year base case: steady, unspectacular compounding

₹ Cr	FY26	FY27E	FY28E	FY29E	FY30E	FY31E
Revenue	11,880	12,353	12,968	13,745	14,706	15,883
Growth	*2.9%*	*4.0%*	*5.0%*	*6.0%*	*7.0%*	*8.0%*
EBITDA	1,833	1,921	2,033	2,171	2,341	2,548
EBITDA margin	*15.4%*	*15.6%*	*15.7%*	*15.8%*	*15.9%*	*16.0%*
Net profit	1,128	1,171	1,232	1,318	1,431	1,574
EPS (₹)	9.66	10.02	10.55	11.29	12.25	13.48
Capex	518	834	855	883	916	958
Free cash flow	1,022	671	734	809	899	1,007
ROE	*17.3%*	*16.1%*	*15.4%*	*15.0%*	*14.8%*	*14.9%*

EPS CAGR

6.9%

FY26–31E

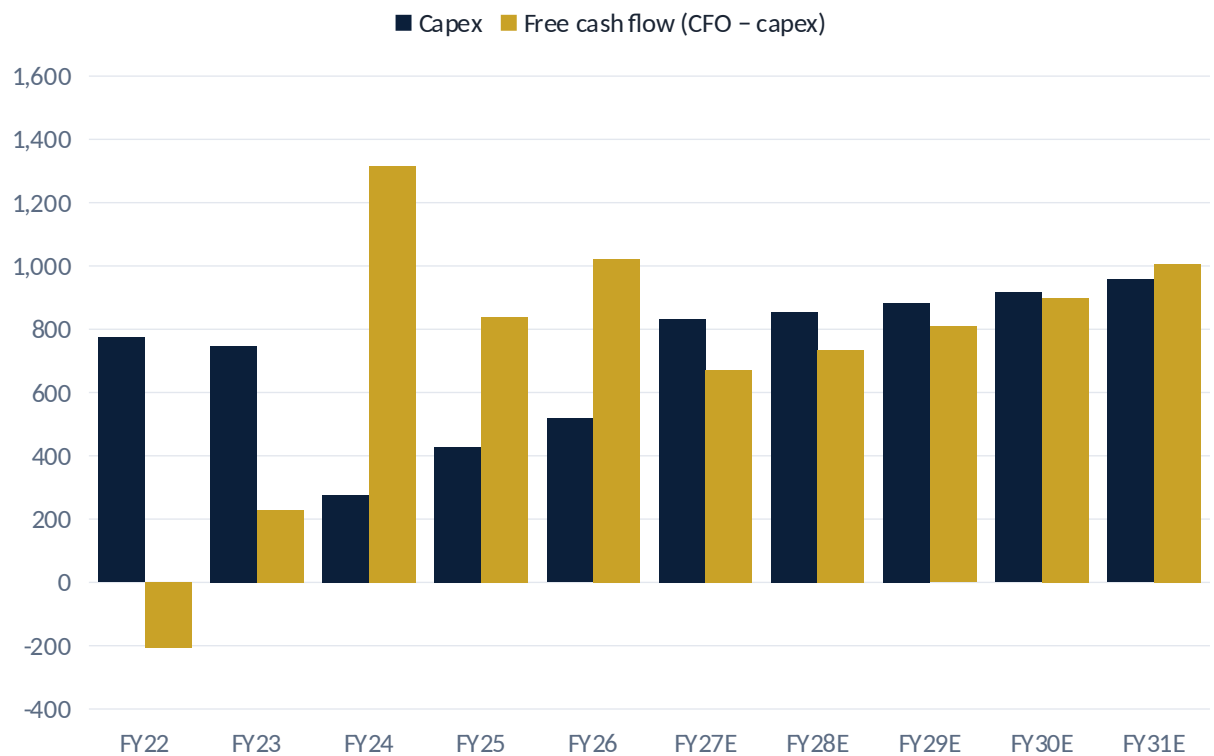
FY27E P/E at ₹465

46.4x

vs 13.8x at DCF value

FY26 = actual (gold); FY27E–FY31E = my base case. Source: Screener.in; my model.

The ₹2,000 Cr plant build squeezes free cash flow



₹2,000 Cr Panagarh + Odisha plants

₹400 Cr Project capex a year, FY27–31E

₹671 Cr FY27E FCF vs ₹1,022 Cr in FY26

Capex = base capex at 3.5% of revenue (3-yr avg) + project capex. Plant cost per management commentary; phasing is my assumption.

A 10.6% WACC: low beta, little debt

5.61%	**Risk-free rate** INR G-sec less default spread
0.722	**Beta** 5-yr daily regression
6.92%	**Equity risk premium** India, Damodaran

Cost of equity **5.61% + 0.722 × 6.92% = 10.61%**
WACC **10.56%** (debt only 1% of capital)

Terminal growth 5.0% | return on new capital 17% (≈ forecast after-tax ROIC)

Sources: Damodaran country risk data; beta from my own regression. Pre-tax cost of debt 8.6% (25.17% tax).

Terminal value drives 82% of enterprise value



₹16,175 Cr ÷ 116.6 Cr shares = **₹139 per share**

Implied terminal multiple: 7.7x FY31E EBITDA vs ~30x today

₹ Cr. Valuation date 1 Nov 2026, mid-year discounting; balance sheet items as of Mar 2026.

No reasonable WACC or growth gets close to ₹465

WACC \ g	4.0%	4.5%	5.0%	5.5%	6.0%
8.6%	₹185	₹198	₹215	₹237	₹267
9.6%	₹152	₹159	₹168	₹179	₹194
10.6%	₹129	₹133	**₹139**	₹145	₹153
11.6%	₹112	₹115	₹118	₹122	₹126
12.6%	₹99	₹101	₹103	₹105	₹108

₹267

Best case in the grid (8.6% WACC, 6% g)

−43%

Still below the ₹465 market price

Value per share (₹). Gold cell = base case (10.6% WACC, 5.0% terminal growth).

My model; WACC steps of 1%, terminal growth steps of 0.5%.

What ₹465 is really pricing in

Holding the five-year forecast fixed, the market price needs a terminal value of ~₹78,900 Cr, 4x the model's ₹19,650 Cr.

MODEL	MARKET-IMPLIED
7.7x	31.0x
Terminal EV / EBITDA	Terminal EV / EBITDA
5.0%	9.7%
Perpetual growth	Perpetual growth
13.8x	46.4x
FY27E P/E	FY27E P/E

9.7% perpetual growth sits just below the 10.6% WACC: the market is paying for growth that never slows down.

My calculation: market EV ₹53,386 Cr less PV of forecast FCFF, grown to FY31E at WACC. Perpetual growth solved with 17% return on new capital.

TAKEAWAYS

A quality franchise, priced as a growth stock

1

Fundamentals are solid

16% EBITDA margins, ~₹860 Cr net cash incl. investments, ~₹1,000 Cr of FCF in FY26.

2

But growth has slowed

Revenue up ~3% in each of the last two years; FY27E P/E of 46x needs much more.

3

The DCF says ₹139

Even the most generous WACC and growth in the grid give ₹267, still 43% below the market.

What would change my view: the new plants delivering double-digit growth toward the ₹20,000 Cr target, with margins above 17%.

The full model is in the Projects section of my profile. Views are my own; this is not investment advice.